

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$124.33 ▲ 0.83%	12M Price Target \$135.00	52-Week Range \$63.52 – \$153.86	Market Cap \$111.78B
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HOOD: Crypto Rally + Prediction Markets Push Stock Near Highs

WHAT HAPPENED

- Stock is up ~19% in a week (\$104 → \$124) on a Bitcoin/crypto rally plus CEO Vlad Tenev publicly saying crypto will eat sports betting's lunch in prediction markets. Translation: the market is repricing HOOD as a crypto + prediction-markets platform, not just a stock-trading app — that's a much bigger addressable market.
- Tenev also sold \$31M of stock overnight. Not a panic sell (it was likely a pre-scheduled 10b5-1 plan), but insider selling into strength always deserves a raised eyebrow.

WHY IT MATTERS

The move here isn't really about earnings — it's about HOOD getting re-rated as the retail on-ramp for two hot new categories: crypto (which just got regulatory clarity under this administration's SEC/CFTC) and prediction markets (event contracts on elections, sports, econ data). That means every time Bitcoin runs, HOOD gets a double kicker — trading fees on the way up AND multiple expansion because Wall Street sees it as "crypto-adjacent." The risk of chasing here: at \$124, near 52-week highs and 67% of range, you're paying for a lot of good news that already happened. Today's tiny volume (9.5M vs 30M+ recent) suggests the buying frenzy is cooling — I'd wait for a pullback rather than chase.

POLICY & POLITICAL WATCH

The big tailwind: the current administration's CFTC has been permissive on prediction markets (Kalshi's legal wins opened the door), and the SEC under crypto-friendly leadership has essentially stopped the enforcement-by-lawsuit approach that hammered HOOD in 2023-24. Watch the CLARITY Act and stablecoin legislation moving through Congress — if passed, they codify crypto as a legit asset class, which is huge for HOOD's crypto revenue (already ~35% of transaction revenue). The headwind to watch: state-level pushback on prediction markets (several state AGs are challenging sports-event contracts), which could fragment the market HOOD is chasing.

IS IT EXPENSIVE?

At ~\$112B market cap and roughly 26x forward revenue, investors are paying \$26 for every \$1 of expected 2026 sales — that's expensive for a brokerage (Schwab trades around 6x) but cheap-ish for a "fintech + crypto + prediction markets" growth story. The bull case says the multiple is justified because HOOD is compounding revenue ~40%+ and expanding into new product categories; the bear case says one bad crypto quarter and this multiple compresses 30% overnight. Fair value is probably \$115-135 — meaning today's price is at the top of fair, not obviously mispriced either way.

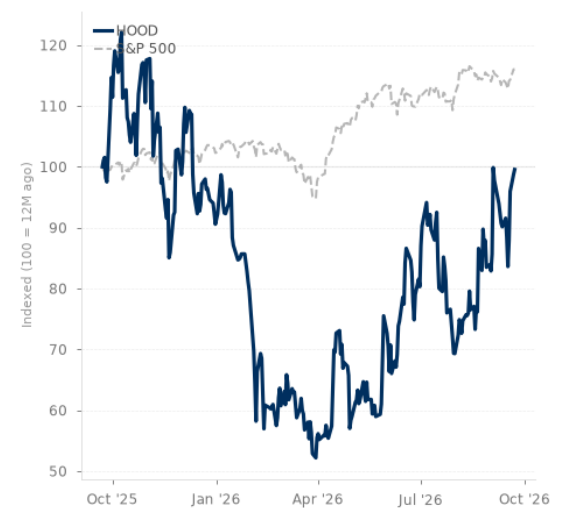
Key Data

Price (USD)	\$124.33
12M Price Target	\$135.00
Upside / (Downside)	+8.6%
Market Cap	\$111.78B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.45
Fwd P/E	67.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$140.00	\$128.00	\$110.00
6 Months	\$165.00	\$135.00	\$95.00
1 Year	\$190.00	\$145.00	\$85.00
2 Years	\$240.00	\$170.00	\$75.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$550.00	\$300.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Crypto and fintech — regulatory tailwinds from the current administration have removed the biggest overhang. Tech broadly is +6.6% over 5 days, signaling risk-on appetite.

COOLING OFF: Utilities and staples are flat-to-down on a 5-day basis — classic defensive rotation OUT, which is bullish for names like HOOD.

ROTATION WATCH: Money is flowing into speculative growth (crypto, AI, fintech) as investors bet on a soft landing plus deregulation. HOOD sits right in the sweet spot of that trade.

RELATED PLAY: If you want crypto exposure without paying HOOD's multiple, look at COIN (Coinbase) as a pure-play, or CME which quietly benefits from the institutionalization of crypto and prediction-market derivatives.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto wave, more direct beneficiary of Bitcoin price action and stablecoin legislation.
- SOFI (SoFi): Bouncing 5% today after getting cut in half — fintech beta trade as rates and regulation news improves.

HOOD CONTEXT: HOOD is LEADING its peer group — up 19% in a week vs. more modest moves in COIN and SOFI. That's because HOOD has the cleanest combo of crypto + prediction markets + retail momentum. But leading the pack near 52-week highs also means it has the most to give back if sentiment shifts.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the story but hate the entry price; buying near 52-week highs after a 19% weekly move is chasing.

POSITION SIZE: 2-4% of portfolio — real upside but crypto correlation means position sizing discipline matters. Don't let one hot stock become 10% of your portfolio just because it's ripping.

ENTRY POINTS: Wait for a pullback to \$105-112 (the pre-breakout consolidation zone). Bitcoin dips are your friend here — they usually create HOOD entry points.

TIME HORIZON: 12-18 months. Catalysts to watch: Q3/Q4 earnings for prediction-market revenue disclosure, CLARITY Act passage, and any Fed rate decisions.

WHEN TO BAIL: If Bitcoin breaks down through key support (~\$85K), if HOOD's transaction revenue misses by >15% next quarter, or if the CFTC reverses course on event contracts.

HEDGING: Simplest hedge — if you own HOOD, own a smaller position in something defensive like a utility ETF or Treasuries. More advanced: buy a put option 10-15% below current price as insurance (costs a small premium, protects you if crypto crashes).